Gold

Is not our preferred Rupiah hedge short term.

&

Danantara Sumberdaya Indonesia

One door, many risks: Indonesia's new commodity export regime

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Meridian

Any names cited are included purely for idea-sharing purposes and do not represent investment advice.

In scenarios where price diverges from expectations, timely exit is advised.

Wrong is part of the game.

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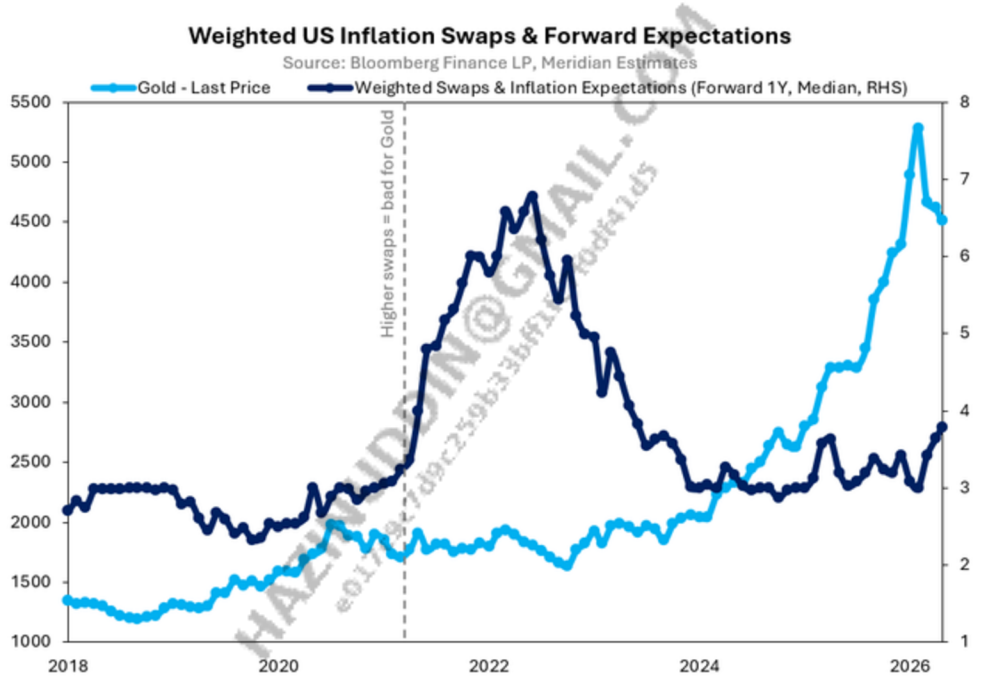
Gold

Stocks are down. Bonds are down. Rupiah is approaching levels that usually make markets uncomfortable. You start seeing Gold stores filled with retail again. People are no longer asking where to generate returns, but where to hedge and preserve purchasing power. And now the **question is whether Gold can actually protect against downside risk in Rupiah terms? The answer depends entirely on the timeframe.**

Short-Term

Short-term macro setup is straightforwardly bearish for Gold.

First, US 1-year inflation swaps and median inflation expectations have surged as Oil remains above $100/barrel. **Energy inflation is feeding directly into inflation expectations, forcing markets to reconsider the entire "Fed easing" narrative.**



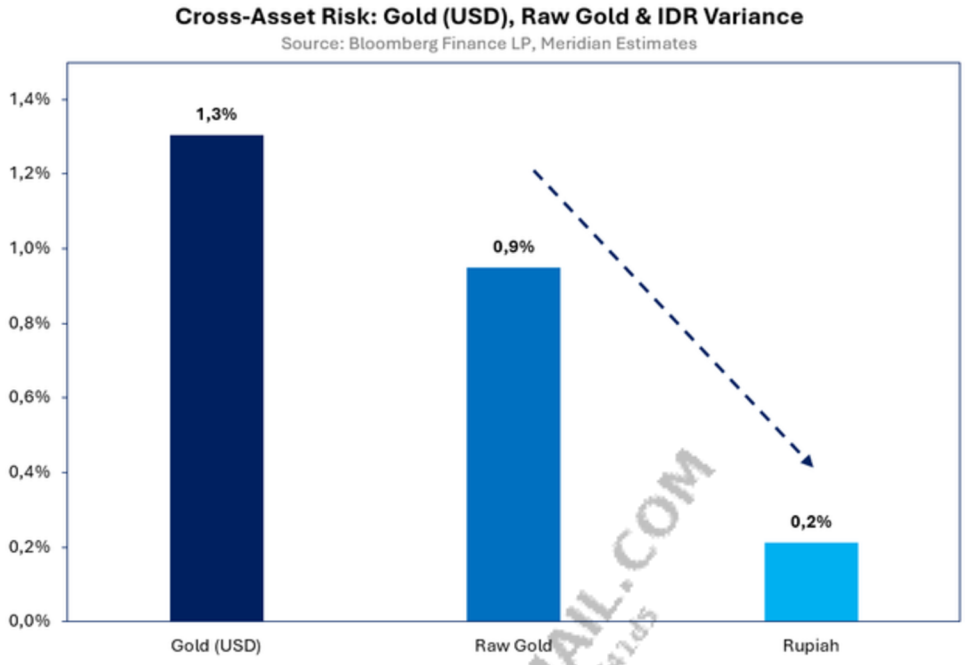
Higher inflation expectations matter because they increase the probability of rates staying higher for longer. Historically, **Gold struggles when three things happen simultaneously: higher US real yields, stronger USD, tight global liquidity. And right now, we have all three.**

Higher real yields increase the opportunity cost of holding non-yielding assets like Gold. At the same time, Dollar strength tightens global financial conditions, especially for emerging markets dependent on USD funding and commodity imports.

That's partly why EM currencies weaken disproportionately during late-cycle USD strength.

Second, Gold is not a low-volatility hedge.

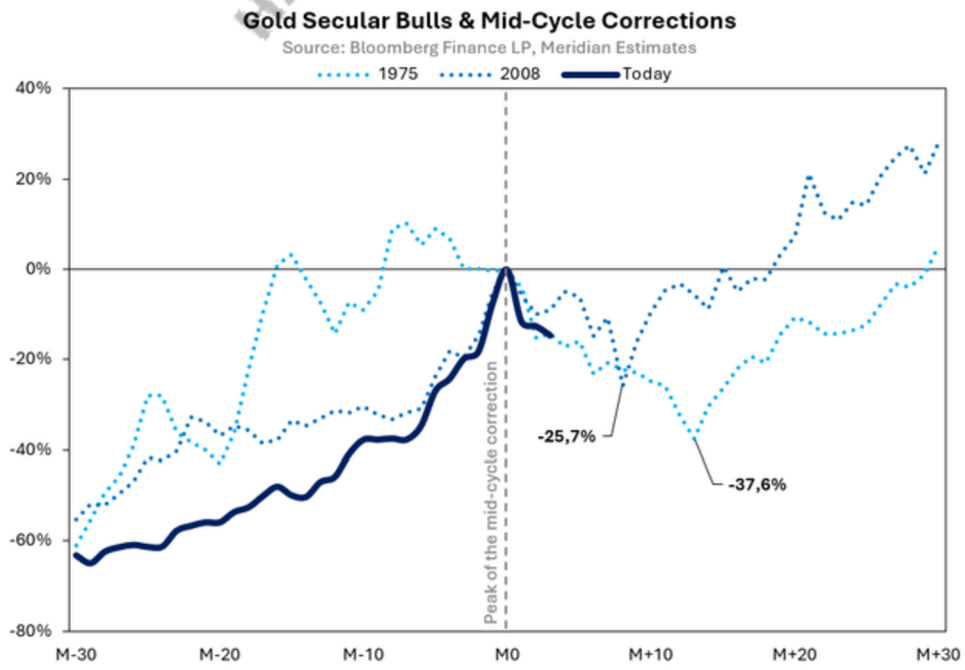
During historical Gold bull markets, **weekly variance in Gold prices reached around 1.3%, while USD/IDR variance averaged closer to only 0.2%.** If Gold corrects by 2–3% during a positioning flush while USD/IDR only rises modestly, your real hedge performance suddenly looks much less attractive.



Third, positioning and flows matter.

The last five years created one of the strongest Gold momentum environments in decades. Massive performance chasing, ETF inflows, and macro uncertainties pushed positioning increasingly crowded. Historically, secular Gold bull markets never moved in straight lines. Corrections of 20–30% were normal, not exceptional.

At current nominal prices, a USD 800–1,000 pullback suddenly feels catastrophic psychologically, even though historically it would simply resemble another cyclical retracement inside a broader uptrend.

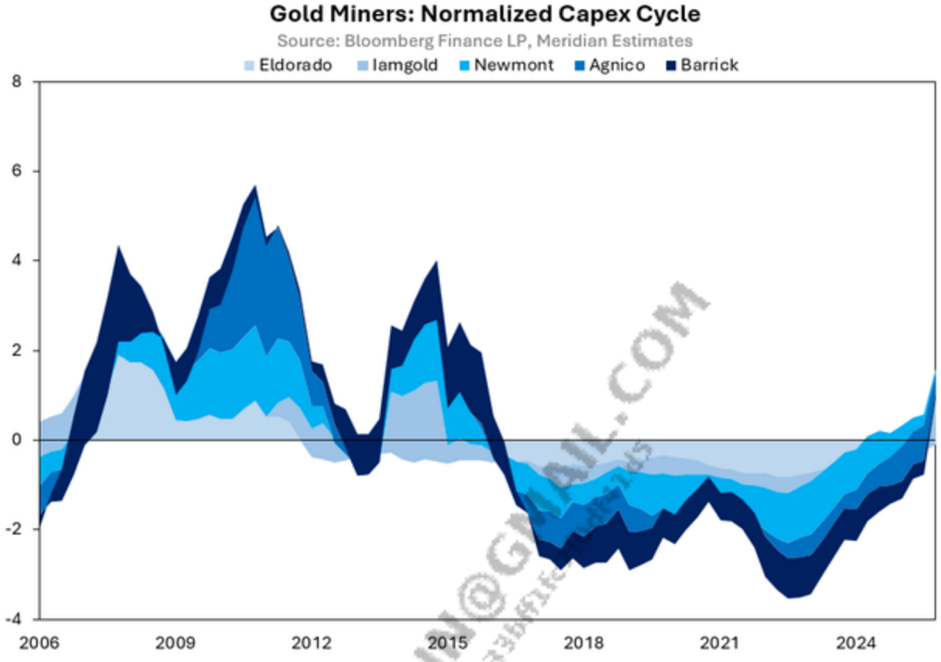


Long-Term

Long term, however, the structural backdrop becomes much more constructive.

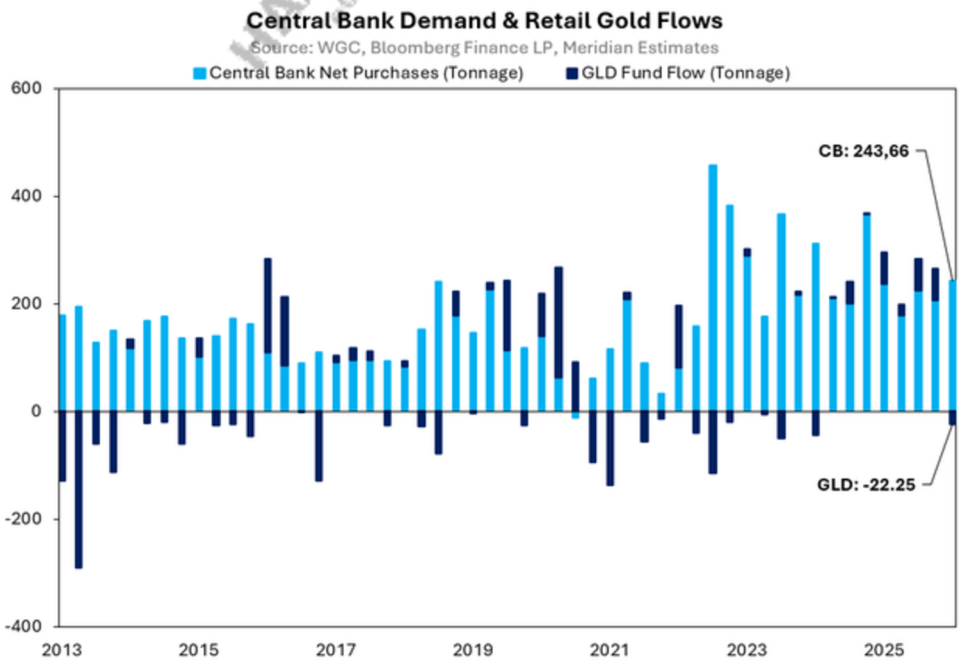
First, the supply side remains constrained.

If we normalize the capex cycle of miners inside the GDX portfolio, the **industry is still far from historical capex euphoria**. Post 2013, mining companies became extremely disciplined with capital allocation. **Years of underinvestment created a structural supply pipeline problem**. And Gold supply cannot rapidly respond to higher prices because development takes years.



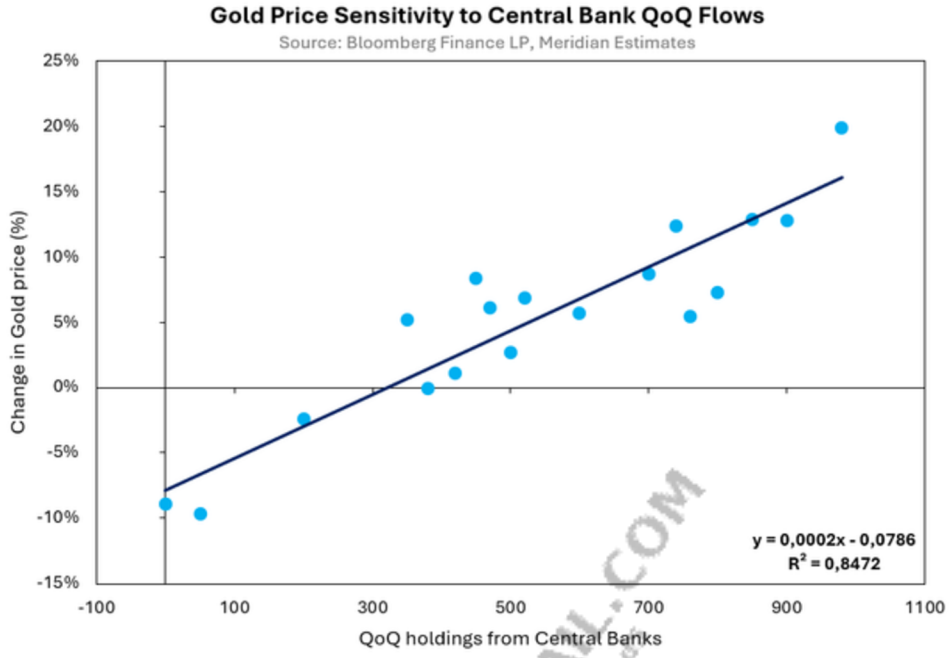
Second, central bank accumulation is changing the structure of Gold demand itself.

Central banks are not buying Gold because they expect quarterly alpha. They buy because the global reserve system is becoming increasingly fragmented. **Sanctions risk and reserve diversification push sovereign institutions toward hard reserve assets.**



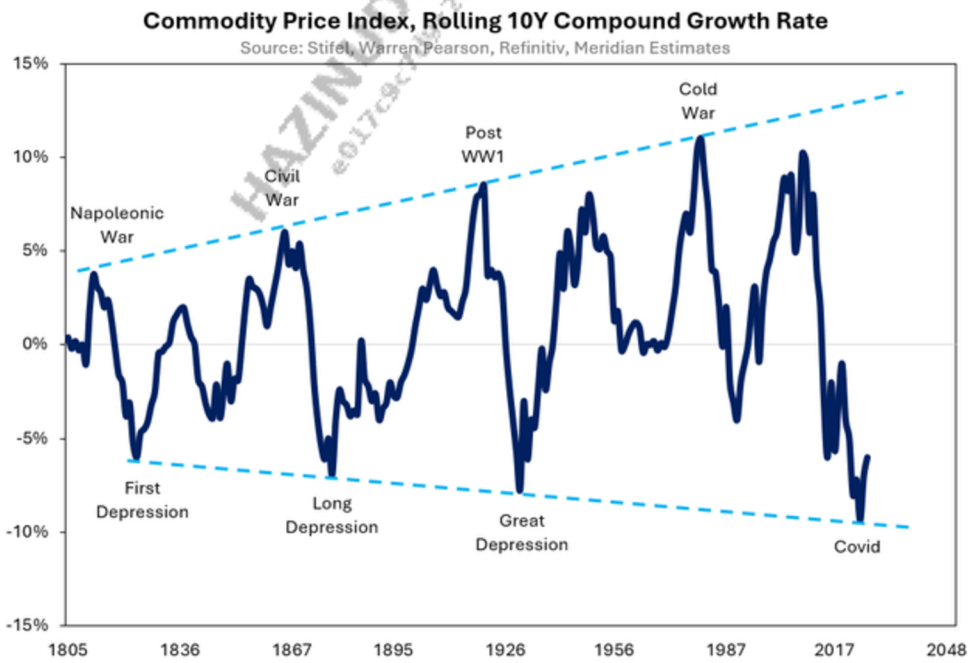
Historically, **every additional 100 tons of central bank buying correlated with roughly a 3% increase in Gold prices** in the majority of observations.

Yes, correlations can temporarily break down. Last quarter was likely one of those periods. But structurally, **sovereign demand remains one of the strongest long-term pillars behind Gold**.



Third, Gold is fundamentally a macro regime asset.

Over the last 225 years, commodity supercycles were rarely isolated market events. They were usually tied to: wars, fiscal deterioration, monetary debasement, and supply shocks. From the Napoleonic Wars to the 1970s stagflation era, commodities historically outperformed when trust in financial assets and monetary stability weakened.



We do not believe Gold is structurally topping here.

Historically, **major Gold tops usually occur when geopolitical fear evolves into a truly systemic and gut-wrenching event**, the kind involving direct military escalation, severe economic dislocation, liquidity stress, and forced liquidation across all assets.

As of today, we are still far from that stage.

What we currently have is a buildup of geopolitical narratives and rising tail risks that may eventually fade or may become the early stages of a much larger macro regime shift.

History cannot predict the exact catalyst, but it does provide a framework for how these cycles usually begin, accelerate, and eventually end.

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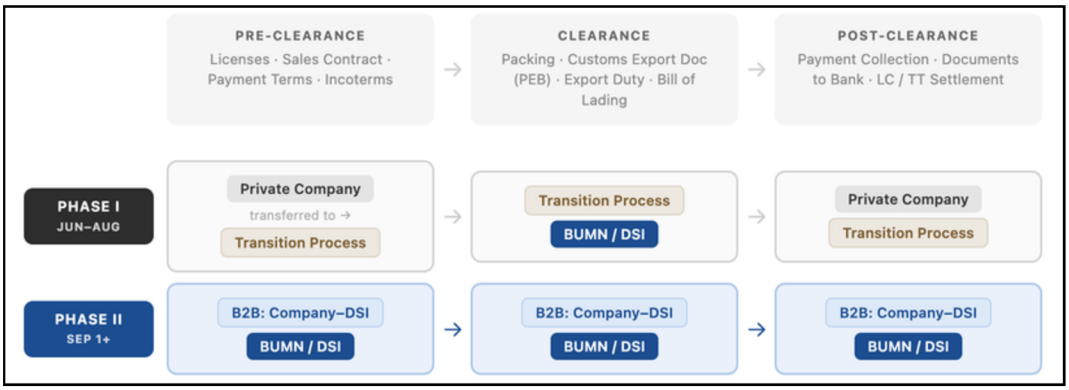
Wednesday, 20th of May 2026, our President, Prabowo Subianto, had the whole Indonesia shocked when he said he is going to divert **Indonesia's strategic commodities** exports through just **one, single body: Danantara Sumber Indonesia (DSI)**. Market participants stunned, investors thunderstruck, the JCI bled.

Under-invoicing and transfer pricing are his root causes for DSI to happen. Money hemorrhaged overseas **($908 billion)**. Socio-economic welfare disrupted. The state received less money. This, he said, will be taken care of by DSI. The first three groups of commodities that will have to comply with this new body are **coal, CPO, and ferro-alloys**, perfectly logical if you see the chart below, where the targeted groups are the **top-3 largest contributors** to Indonesia's exports. Additionally, Indonesia is the **world's largest coal and CPO exporter**. He wants Indonesia to be the **price maker, not the takers**.



During the first phase, DSI will act as an **mandatory auditor** for exporters to verify the exported goods, but **exporting activities will still be done by the companies**. This so-called "transition period" will be taken into effect starting from **1 Jun-31 Aug**. Then, starting from **1 Sep onwards**, DSI will **handle all exporting activities**, or in other words, companies later cannot directly export their goods; they will have to sell it to DSI and DSI only. DSI will act as a trader; buying the commodities from local producers, and then reselling it to foreign buyers.

Natural Resources Export Scheme Under DSI



Source: Government, Meridian.

This ensures several things should the execution go smoothly: **(1) Underinvoicing and transfer pricing can be fully eliminated. (2) Transaction price would follow benchmarks. (3) The state receives the supposed tax and royalties values. (4) Unrecorded profits from offshore companies will later be present in local companies.**

Example & Potential Challenges

Let's walk through a mock example to make this tangible. The players:

- **PT Adare Energy Indonesia – Indonesian coal miner, East Kalimantan**
- **JERA Co., Inc. – Japan's largest power generator, the foreign buyer**
- **DSI – The new SOE intermediary**
- **The cargo: 70,000 tonnes of thermal coal, 5,800 kcal/kg GAR, loaded at ABCD anchorage**

Under the old system, Adare and JERA signs a 12-month supply agreement directly.

- Price formula: **Newcastle index - $10/tonne** (say Newcastle index = $120/tonne)
- Adare loads the coal to a Panamax vessel at ABCD port
- An independent surveyor certifies the weight and quality
- Adare presents a bill of lading and inspection certificate to the bank
- JERA's bank releases payment of **$7.7 million** ($110/tonne * 70,000 tonnes) via a letter of credit
- Money arrives in **Adare's account** (clean)
- **<u>If Adare was a company who does under-invoicing and/or transfer pricing:</u>**
  - Adare's affiliate, XYZ Trading (offshore) for example, would be the first buyer of Adare's coal
  - But the transaction would occur at $90/tonne
  - XYZ Trading would later resell to JERA at $110/tonne, pocketing a $20/tonne profit
  - Adare declares only **$90/tonne export to Indonesian customs**, pays export levy and royalties on the $**6.3 million ($90/tonne * 70,000 tonnes) instead of $7.7 million. The rest $1.4 million stays in XYZ Trading, untouched.**

Under the first phase (Jun-Aug, DSI as the watchdog):

- Adare must submit the contract price ($110/tonne) to DSI
- DSI checks the Newcastle index: it's $120/tonne. A $10 discount is normal (freight difference, **quality adjustment**). DSI approves
- If Adare tries to declare $90/tonne, DSI would see a $30 gap versus the Newcastle benchmark and **blocks the export permit**
- The transaction still **settles between Adare and JERA**. DSI just ensures the declared price is honest and transparent

Under the second phase (September onwards, DSI the sole exporting body):

- **JERA can no longer sign a contract with Adare**. JERA can now only buy from DSI
- DSI signs the supply agreement with JERA at $110/tonne for 70,000 tonnes = $7.7 million
- Seperately, DSI signs a domestic purchase agreement with Adare to buy the same coal at $105/tonne for 70,000 tonnes = $7.35 million
- Adare loads the coal at ABCD port. The bill of lading is now under DSI's name as the shipper
- JERA's bank pays $7.7 million to DSI's account, which is held in Indonesia, not offshore
- DSI pays $7.35 million to Adare (still onshore)
- DSI retains $350k as its margin/operating fee for the transaction

This is where it gets complicated. First, **pricing gap problem**. In the second phase, DSI might offer to buy Adare's coal for $105/tonne. But Adare's production cost + royalties might be $100/tonne, so Adare **only earns $5/tonne compared to $10/tonne before the second phase**, which is razor thin. If DSI sets the purchase price too low **(surely it needs some margin to cover operational costs and potentially political obligations)**, Adare's profitability collapses. Small, unintegrated, inefficient miners who operate at higher cost will simply go out of business.

Second, the **existing contract (contract breach) problem.** In the example, Adare signed a 12-month supply with JERA before September 1st . This is of course **under Adare's name, not DSI**. JERA's team, their lenders, their banks approved a contract with Adare's credit rating, track record, and mine specifications. Come September 1st, DSI says **"We're the sellers now."** JERA can legally **refuse** to recognize DSI as the substitute counterparty. This is a contract novation problem. It requires JERA's consent, which JERA may withhold. The transition period from Jun-Aug precisely aims to tackle this problem, but **is 90 days enough?**

Third, quality specification problem. JERA's contract specifies 5,800 kcal/kg GAR +-200 kcal from Adare's mine with maximum 1% sulfur and 12% ash. DSI is a generic intermediary; it does not mine the coal. If DSI sources the coal from a different mine, **JERA can reject it as non-conforming**. **DSI must maintain exact mine-level traceability for every cargo, across hundreds-thousands of mining concessions with different specs simultaneously.**

There are still other operational challenges that DSI will still have to face. What about the **logistics? Trading infrastructure?** How will DSI tackle **commodity complexity problem** (different qualities of coal, many kinds of downstreamed CPO products, buyer specs, etc)? **Geographic fragmentation** will also be a huge problem; CPO, coal, ferro-alloys production sites and ports are spread across such a vast area. What about **certification** (RSPO, EU Deforestation Regulation) problem? DSI as a newly-formed body with no prior history surely does not have these. What about working capital? A body aiming to handle the whole Coal, CPO, and ferro-alloy exports has to have deep-deep pockets.

Phase 1 makes DSI the **mandatory price police**. Phase 2 makes DSI the **mandatory middleman** who holds title, takes price risk, manages foreign exchange, and must simultaneously run what would be the world's largest coal and palm oil trading operation, by fiat, with no prior trading history, starting in roughly 100 days from now.

Historical Mirror - APKINDO

Historically speaking, Indonesia had two bodies similar to this, both in the *Orde Baru* regime, but not nearly at the scale of DSI: **APKINDO (Asosiasi Panel Kayu Indonesia) and BPPC (Badan Penyangga dan Pemasaran Cengkeh)**. One succeded, but then failed. The other one, completely failed.

BPPC was a crude, nakedly corrupt monopoly that immediately destroyed clove farmers incomes. APKINDO was the more sophisticated and dangerous parallel. It worked briliantly over a decade, made Indonesia a **global champion of tropical plywood (70% global share)**, generated billions in real export revenue, and then became the rent-seeking, politically captured machine that the critics of DSI are warning about. Two preconditions made it viable: (1) the **log export ban** forced all value-add production onshore, creating a natural captive supply, and (2) APKINDO had real market power because Indonesia was genuinely dominant. **The cartel worked because the product was irreplaceable.**



It collapsed because of IMF's conditionality in 1998 forced dissolution. But more fundamentally, the cartel created perverse incentives: member companies stopped competing on efficiency, quality standards slipped, and the moment global buyers had alternatives, the price premium evaporated. DSI faces the same risk: coal and CPO are global commodities with **many substitute suppliers.** APKINDO worked on plywood partly because **Indonesia was the market.** On coal and CPO, **Indonesia is large but not irreplaceable.**

The lesson isn't that this can't work. It's that the preconditions are very specific. DSI succeeds only if it builds **genuine trading infrastructure, price discipline, and market intelligence fast**. It has roughly 100 days before Phase 2 begins.

DSI's Memo

Indonesia just made its commodity export stack political. Coal, CPO, and ferro-alloys will flow through a single government body by September 1. **DSI is not a tax. It is potentially a margin event.** Although it could potentially suppress margins for fully compliant, clean, bodies, companies that have been doing underinvoicing and transfer pricing will have no choice but to **record real, genuine, un-tampered transactions**. This will inevitably **enhance their once crooked books.**

The mechanism is theoretically clean: DSI eliminates offshore transfer pricing and forces FX onshore. But Phase 2 could **potentially compress producer margins** as DSI inserts itself as mandatory intermediary. Existing supply contracts with foreign buyers face novation risk; counterparties must consent to DSI as the new seller. The Jun–Aug transition window is a live negotiation, not a formality.

The APKINDO precedent is the right frame. Indonesia's plywood cartel worked because the product was genuinely irreplaceable. **Coal, CPO, and ferro-alloys are globally substitutable**. If DSI prices too aggressively, or bureaucracy over-complicates trading process, buyers reroute. **Indonesia is large, but it is not irreplaceable.**

DSI has roughly 100 days to build a real trading operation before Phase 2 begins. Q3 2026 is the first clean read on whether it executes or stumbles.

Capital doesn't wait for government bodies to build trading desks.

Gold's Memo

We stay bullish on Gold structurally, but bearish near term. The macro regime is shifting, and our models suggest a potential 12.7%–24.1% correction.

If the objective is hedging Rupiah depreciation, **we do not think Gold is the best short-term vehicle at current levels**. **The opportunity cost versus holding foreign FX is significant.**

The bigger Gold story, in our view, is more likely a 2027–2030 story.

Summary:
Long: We became bullish on USDIDR at 16,800. Now at 17,748, our view remains unchanged. The move may only be ~6%, but in FX, proper hedging matters more than flashy returns. We still see Rp21,000 per USD in the medium term.
Short / Avoid: We turned bearish on the JCI at 8,250. Today it sits at 6,162, and we remain firmly bearish. Friday's DSI-related liquidity pull likely opened the door for another leg lower, potentially below 5,500 in the medium term, with banks still acting as the main pressure point.

The market keeps obsessing over growth while ignoring the variable that actually drives markets, liquidity. When liquidity tightens, growth narratives stop mattering. At that stage, **the market only wants cash.**

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